

Week 4: Interest groups and lobbying

A second introduction to formal political economy, Trinity Term 2025

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Overview

- **Collective action and interest group influence**
 - Olson's logic: why some groups succeed in lobbying while others fail
 - Group size, costs/benefits, and the free-rider problem
- **The Lowi-Wilson framework**
 - Mapping political dynamics using cost/benefit dispersion
 - Applications to agricultural subsidies, climate policy, and tax reform
- **Extensions and mechanisms of influence**
 - When and how interest groups lobby: timing, targets, and tools
 - Informational, exchange-based, and subsidy-based influence
 - Rent chains and collective lobbying dynamics
- **Limitations and beyond**
 - Empirical and conceptual shortcomings
 - Incorporating political institutions, salience, and inequality dimensions

Outline

Primer on the logic of collective action

The Lowi-Wilson workhorse “model”

Limitations and shortcomings

Extensions

Extending the general interest group logic

Comparative extensions

Putting together electoral and interest group logics

Applications

Model Setup and Assumptions

Conclusion

Primer on the logic of collective action (Olson, 1965)

Starting point: Which interest groups influence policymakers, and how?

- Understanding this requires the **logic of collective action**: the factors that help or hinder group cooperation towards a shared goal.
 - *Prediction*: Interest groups that best overcome collective action problems will have the greatest influence on policymaking and decision-making.
- The ability to overcome collective action problems depends, among other things, on:
 1. **Group size**
 2. The **distribution of costs and benefits**

The logic of collective action

- **Collective action is difficult due to the free-rider problem:**
 - Each individual's contribution is marginal, while the effort is personally costly.
 - People can benefit from others' contributions without incurring any cost themselves.
- When effort is costly, it is rational for individuals to shirk — meaning the goal may not be achieved.
- **Privileged groups** are more likely to organise effectively than **latent groups**.
 - **Privileged groups:** Small in size, strong individual incentives, easier monitoring and communication.
 - **Latent groups:** Large, weaker individual incentives, anonymity, harder to organise, underrepresented.

A toy model of collective action group size

- Collective action is difficult because of free-riding:
 - Each individual's effort is costly and benefits are shared.
- Following Mesquita, 2016:
 - In a group of $N > 1$, total benefit = B , individual share = $\frac{B}{n}$.
 - Individual cost of effort is $c > 0$, with $B > c$.
- Insights:
 - Probability of success rises with number of contributors, n .
 - But individual benefits fall as n increases.

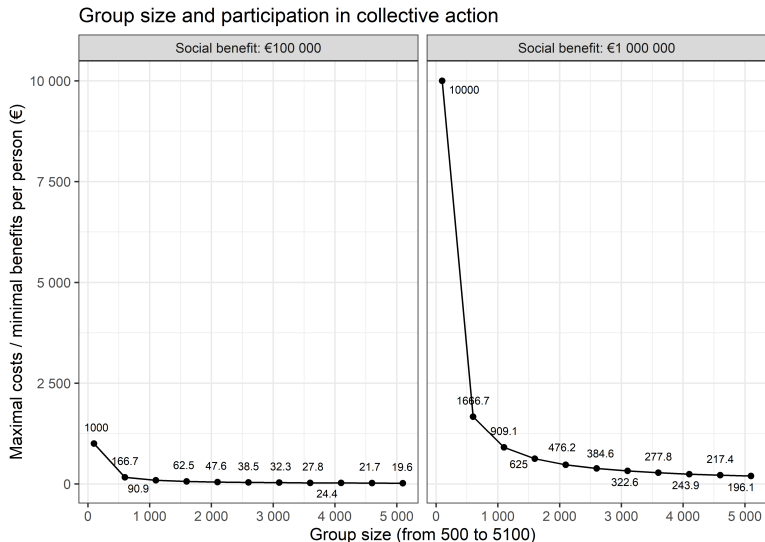
The dismal logic of collective action in large groups

- Assume the probability of participation equals the fraction of people contributing: $\frac{n}{N}$.
- If individual i believes that $n - 1$ others will contribute, she will also contribute if and only if:

$$\frac{n}{N} \cdot B - c \geq \frac{n-1}{N} \cdot B \iff c \leq \left[\frac{n}{N} - \frac{n-1}{N} \right] B \iff cN \leq B$$

- The term $\left[\frac{n}{N} - \frac{n-1}{N} \right] B$ represents the **incremental benefit** of i contributing.
- c is the **incremental cost**. For participation to be rational, benefits must outweigh costs.
- **Key implication of group size:** $\lim_{N \rightarrow \infty} \left[\frac{n}{N} - \frac{n-1}{N} \right] = \lim_{N \rightarrow \infty} \frac{1}{N} = 0$

The dismal logic of collective action in large groups (cont'd)



How dismal is the outcome? (Nash equilibrium)

- Total public good provided: $G = \sum_{i=1}^N e_i$
- Cost of effort: $c = e_i^2$
- Utility of individual i : $u(e_1, \dots, e_N) = G - e_i^2$
- Player i maximises: $\max_{e_i} \left(\sum_{i=1}^N e_i - e_i^2 \right)$
- **Symmetric pure-strategy Nash equilibrium:** each $e_i^* = \frac{1}{2}$, so:

$$G = \frac{N}{2}, \quad u = \frac{2N - 1}{4}$$

- This outcome is not Pareto efficient: everyone can be made better off.

Social optimum vs. Nash equilibrium

- Social planner chooses G to maximise total utility: $U(e) = G - \left(\frac{G}{N}\right)^2$
- Maximising $N \cdot \left(G - \left(\frac{G}{N}\right)^2\right)$ gives: $G^* = \frac{N^2}{2}$, so $e_i = \frac{N}{2}$
- Total payoff:

$$U = N \cdot \left(\frac{N^2}{2N} - \left(\frac{N}{2} \right)^2 \right) = \frac{N^2}{4}$$

- **Result:** $\frac{N^2}{4} > \frac{2N-1}{4}$ for all N
- **Conclusion:** A social planner achieves a Pareto improvement over Nash equilibrium. As N grows, the inefficiency of the Nash outcome becomes dramatically worse.

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The Lowi-Wilson logic: Overview

Synthesis of contributions by Lowi (1964), Olson (1965), Wilson (1980), Stigler (1971), Peltzman (1976), Weingast, Shepsle, and Johnsen (1981), and many others

Costs of policy	Concentrated benefits	Diffuse benefits
<i>Concentrated</i>	Interest group politics	Olsonian setting
<i>Diffuse</i>	Stiglerian setting	Mass politics

Table: Overview of the Lowi-Wilson framework

Stiglerian settings (▸ Extension I, ▸ Extension II)

Costs diffuse + benefits concentrated = policy change favoured over status quo →
Winners lobby harder than losers, given that their collective action problem is easier than that of the losers

"The state becomes permeated by private interests, most of its actions consist of income transfers from the politically powerless to the politically powerful (...)."
(Przeworski, [2003](#), p. 108)

Examples:

- Agricultural subsidies?
- Tax cuts, e.g. Bush and Trump tax cuts (Bartels, [2005](#), [2016](#); Chodorow-Reich, Zidar, and Zwick, [2024](#); Hacker and Pierson, [2005](#); Lupia et al., [2007](#))

The intended abolition/reduction of agricultural subsidies and farmers' protests

Agriculture drains the European Union's resources while contributing a tiny share of its economy

Europe's monocrop- and livestock-intensive agriculture system is fueling climate change and ultimately unnecessary for producing enough food.

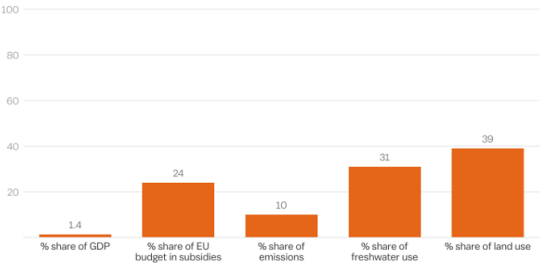


Chart: Marina Bolotnikova/Vox • Source: Eurostat, Our World in Data/UN, European Commission, CAP



Source: Vox, May 2024



Source: VOA, Feb 2024

Olsonian settings

Diffuse benefits + concentrated costs = strong status quo bias → Losers lobby harder than winners

Shrewd political entrepreneurs representing interests of beneficiaries needed if status quo bias is to be overcome (Wilson, 1980)

Elements of political entrepreneurship:

- Normative lodestar (e.g. reducing GHG emissions)
- Exploiting cross-cutting cleavages to build coalitions (e.g. industry, labour, churches)
- Heresthetics: art of political manipulation (Riker, 1986)
- Rhetoric / communication / framing (Druckman, 2022; Little, 2023)

Entrepreneurial politics gone wrong: the failure of the Waxman-Markey bill

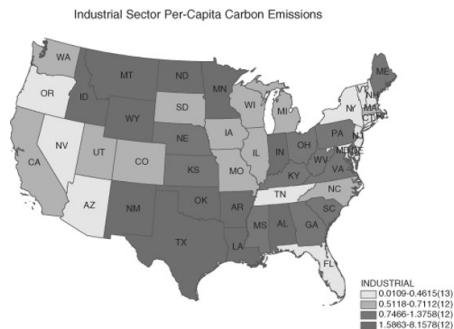


Figure: Cragg et al., 2013

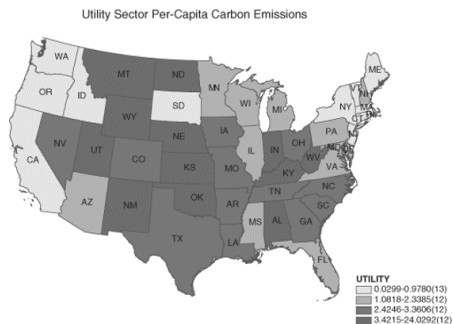


Figure: Cragg et al., 2013

The 1970 US Clean Air Act: An example of successful entrepreneurial politics



1970

President Richard Nixon signs into law the Clean Air Act of 1970 (CAA) in the same year as the first Earth Day



1977

The CAA is amended to address problems with ambient air quality in US cities



1990

The CAA is amended with a significant expansion of air quality regulations, including a program to stop acid rain



1996

Through the CAA, EPA bans leaded gasoline in new vehicles, which helps to drive a massive drop in lead as an air pollutant

Figure: Aldy et al., 2020

Overcoming status quo bias: The Good, the bad, and the ugly of political entrepreneurship

The Good: (i) ex ante and ex post good to reduce air pollution, and (ii) savvy majority-building strategy by entrepreneurs to internalise externality

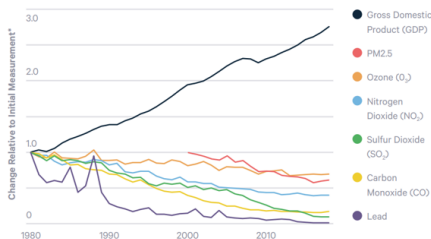


Figure: Aldy et al., 2020

The Bad: legislative majority came at price of inefficiency → opportunity costs

"If ... national standards were adopted, the northeastern and midwestern senators (with enough votes to veto the legislation) were worried that key industries would relocate out of their states ... Congress compromised on inefficient command-and-control intervention to achieve cleaner air." Cox and McCubbins, 2001, p. 49

The Ugly: inefficient control-and-command control instruments create rents for dirty producers

Taking stock: Olsonian settings, political entrepreneurship, and heresthetics

How can political entrepreneurs overcome the status quo bias of Olsonian settings?

“For a person who expects to lose on some decision, the fundamental heresthetical device is to divide the majority with a new alternative, one that [s]he prefers to the alternative previously expected to win. If successful, this maneuver produces a new majority coalition composed of the old minority and the portion of the old majority that likes the new alternative better ... it takes artistic creativity of the highest order to invent precisely the right kind of new alternative.” Riker, 1986, p. 1

Other devices (Riker, 1986, pp. 147–150, McLean, 2025):

- Agenda control
- Strategic voting
- Manipulation of dimensions

From Olson to Stigler: The (entrepreneurial) politics of the *Inflation Reduction Act*

Mainly regressive tax credits (Borenstein and Davis, 2024) + geographically targeted "green" pork (Landry, 2021)

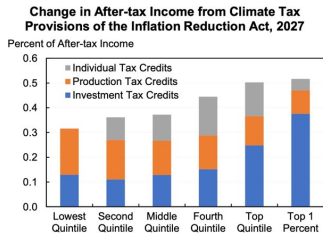


Figure: Furman, 2023

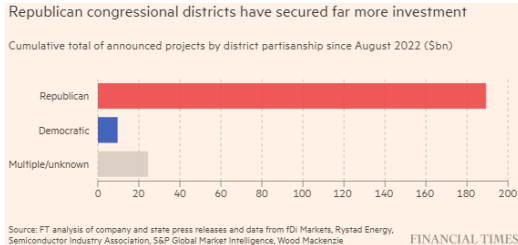


Figure: Chu, McCormick, and Roeder, 2023

Interest group politics: "politics as organised combat"

Costs and benefits concentrated = intense interest group competition between prospective losers and winners → Outcome determined by relative strength of interest groups

"Business must learn the lesson . . . that political power is necessary; that such power must be assiduously cultivated; and that when necessary, it must be used aggressively and with determination – without embarrassment and without the reluctance which has been so characteristic of American business . . . Strength lies in organization, in careful long-range planning and implementation, in consistency of action over an indefinite period of years, in the scale of financing available only through joint effort, and in the political power available only through united and national organizations." (Hacker and Pierson, 2010; L. Powell, 1971)

Mass politics

Costs + benefits diffuse = outcome likely to reflect citizens' preferences

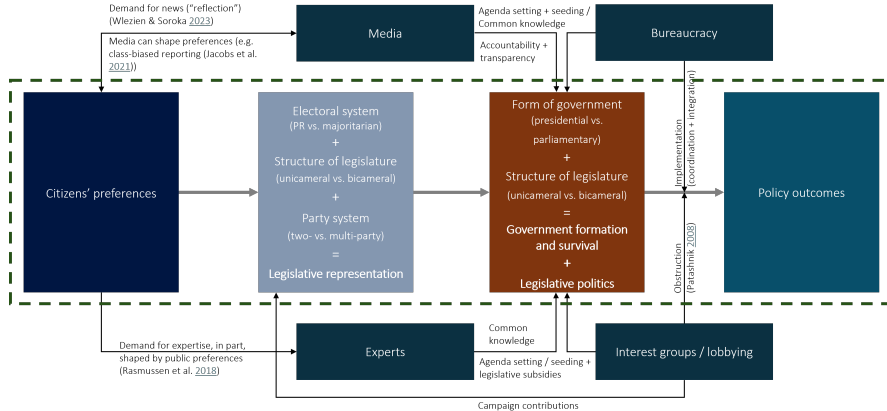


Figure: Stylised overview of mass politics (very loosely based on G. B. Powell, 2019)

Summary: Application to instrument choice in climate policy

Economists' perspectives vs Politicians'

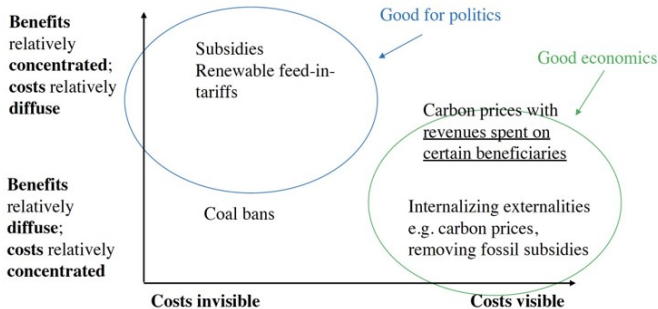


Figure: Dimanchev's (2017) application of the Lowi-Wilson logic

Empirical shortcomings of the Lowi-Wilson approach

- Often difficult to operationalise the key variables – costs and benefits or their degree of dispersion
 - In many real-world settings, **costs and benefits are high-dimensional objects** (e.g., firm position in value chain, substitutability of regulated process)
 - The framework only works well, cleanly reduces the dimensionality of the problem, when these dimensions are closely correlated or co-linear.
- When they are not, the informal application of the framework typically fails → need to measure the costs and benefits of regulation carefully, which is hard (Bombardini, Trebbi, and Zhang, 2024; Pellegrino and Zheng, 2024)

Measuring the Costs and Benefits of Regulation

by Matilde Bombardini¹, Francesco Trebbi², Miao Ben Zhang³

Draft: September 2024

Abstract: This article discusses recent methodological innovations in the area of cost and benefit assessment of government regulation, in both a prospective and retrospective sense. Much of the extant progress is presented on the front of private costs of compliance. Private benefits, social costs, and social benefits remain much less systematically organized and more arduous to quantitatively assess, mostly due to the difficulty of standardizing partial and general equilibrium counterfactuals. We offer a discussion of potential future methodological improvements in cost-benefit analysis.

Figure: The difficulties of measuring the costs and benefits of regulation

Conceptual shortcomings of the Lowi-Wilson approach (Part 1)

Assumption	Challenge(s)	Some modification(s) in literature
Politicians are perfect agents of interest groups	Politicians' preferences and incentives are rarely perfectly aligned with those of interest groups + mechanisms of influence unclear	Incorporate incentives arising from, for instance, intra-party dynamics + explicitly model influence or lobbying
Role of salience neglected	Important determinant of the <i>locus</i> of politics (Dennison and Kriesi, 2023)	Exogenous (Culpepper, 2011) vs. endogenous salience
Static framework	Much of politics is about policymaking over time → dynamic framework	Analysis of commitment problems and time inconsistency (e.g. Besley, 2006)
No distinction between vertical and horizontal inequality (illustrates dimensionality point)	Inequality within income groups matters for distributional effects of policies, e.g. carbon pricing (Hänsel et al., 2022 ; Missbach and Steckel, 2024)	None in the political economy literature (to the best of my knowledge)

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Conceptual shortcomings of the Lowi-Wilson approach (Part 2)

Continued from previous slide

Assumption	Challenge(s)	Some modification(s) in literature
Policies considered separately (no issue bundling)	Often policies are not adopted / modified individually, but as part of packages or bundles → logrolling	Allow for policy bundling and effect of bundling on coalition-building, policy adoption, and stringency (B. E. Lee, 2022)
Narrow conception of politicians' and voters' motivations + “optimistic” view of their cognitive capacities	Politicians have normative convictions and limited cognitive capacities	Incorporate other-regarding preferences into utility function / payoffs + allow for behavioural limitations (Jervis, 2004 ; McDermott, 2004 ; Mintz, Valentino, and Wayne, 2021)
Universal view of politics (variation in “error term”)	Political outcomes differ systematically and persistently over time and across space	Incorporate role of political institutions norms conventions and culture into analysis (Persson and Tabellini, 2005)

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Overview of extensions

Much of the literature on special interest groups (implicitly) responds to the Lowi-Wilson framework. The latter provides a useful **foil** against which to evaluate these contributions.

The extensions come in **three flavours**:

1. Modifications of the general logic of special interest group politics
2. Comparative political economy of special interest group politics
3. Putting together electoral and interest group logics

Some preliminary remarks on the general logic of special interest group politics

Starting point: In pursuing their objectives, special interest groups face two fundamental problems:

1. Politicians / policymakers are not perfect agents (agency loss)
2. They need to interact with other interest groups, either by coordinating with them or competing against them

Lobbying strategies can be construed as “best responses” to these two problems, which we will explore next.

The problem of multiple objectives – or why politicians are not perfect agents of interest groups

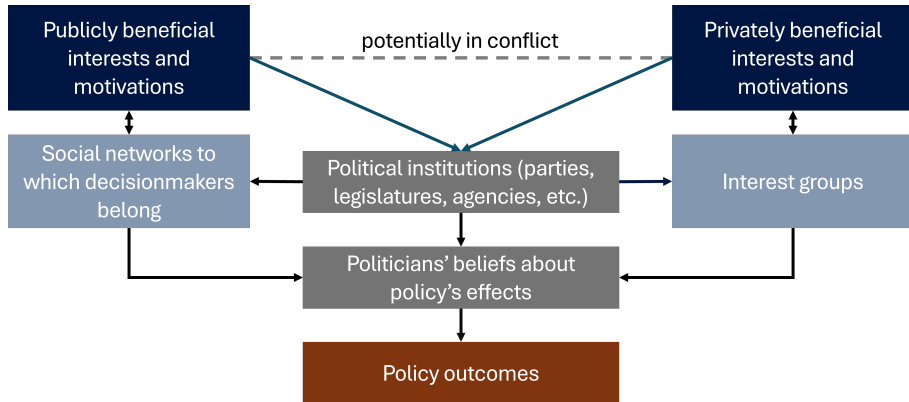


Figure: Stylised overview of agency problems

The components of lobbying strategies: Towards clarifying the mechanisms of influence

1. Stage in the policymaking process

Interest groups may intervene at different stages: by influencing agenda-setting, shaping policy formulation via informational lobbying or legislative subsidies (Blumenthal, [2023](#); Cotton and Li, [2018](#); Ellis and Groll, [2020](#)), or diluting implementation (Patashnik, [2008](#)).

2. Target of lobbying

Who is lobbied—staffers, legislators, or bureaucrats—depends both on the policymaking stage and on available channels of influence. The identity of the target shapes and is shaped by the strategic choices interest groups make at other levels.

3. Means of influence

Strategies vary from monetary tools like campaign donations—prominent in journalistic accounts—to informational means (Awad, [2024](#); Schnakenberg, [2017](#); Schnakenberg and Turner, [2024](#)) aimed at “manipulating” the information sets of staffers, bureaucrats, or elected officials – or shifting their beliefs / worldviews. Resource constraints and institutional rules shape the relative appeal of the different means.

4. Scope of lobbying efforts

While some strategies are pursued at the firm level, aligned interests can lead to sectoral or cross-sectoral coalitions. These may form along “rent chains” (Baron, [2012](#), 198–199), where supply chain linkages enable firms to engage in collective action.

When in the policy process should interest groups intervene, and why?

Caveat: We do not have canonical models that answer this question. But that is not a good reason to ignore it here. Quiet the opposite!

Indeed, we observe **considerable variation** in the stages at which lobbying occurs. Contrary to conventional wisdom, a fair amount lobbying occurs **ex post** – after legislation or regulation has been adopted (Patashnik, 2008; You, 2017).

Why would interest groups lobby ex post, rather than ex ante? Even if they lobby ex ante, why would they only become active once an issue is on the political agenda, rather than trying to shape the agenda in the first place?

Setup of the strategic decision problem

We consider a simple model in which an interest group chooses **one** stage to intervene: $s \in \{A, F, I\}$, representing **agenda-setting**, **formulation**, and **implementation**.

The group's expected payoff is: $\Pi(s) = B(s; T, P) - C(s; R, L)$

Benefits:

$$B(s) = \alpha_s \cdot P \cdot T_s, \quad \text{where } T_s = \begin{cases} T_p & \text{if } s \in \{A, F\} \\ T_b & \text{if } s = I \end{cases}$$

Costs: $C(s) = \beta_s^R \cdot R + \beta_s^L \cdot L$

- α_s : effectiveness of influence at stage s
- P : policy importance; T : access to politicians/bureaucrats
- R : reputational misalignment; L : legal/regulatory exposure

Stage choice and logic of trade-offs

The group selects: $s^* = \arg \max_{s \in \{A, F, I\}} [\alpha_s \cdot P \cdot T_s - \beta_s^R \cdot R - \beta_s^L \cdot L]$

Reputational misalignment ($R \uparrow$):

- Costliest at agenda-setting ($\beta_A^R > \beta_F^R > \beta_I^R$)
- **Prediction:** low-legitimacy actors prefer later stages
- E.g., fossil fuel firms lobbying discreetly at implementation stage

Regulatory exposure ($L \uparrow$):

- Costliest at implementation ($\beta_I^L > \beta_F^L > \beta_A^L$)
- **Prediction:** heavily regulated actors lobby early to shape outcomes
- E.g., banks lobbying early in regulatory reform debates

Comparative statics (continued)

Political ties ($T_p \uparrow$):

- Increase returns to intervention at agenda-setting and formulation

$$\frac{\partial \Pi(s)}{\partial T_p} = \alpha_s \cdot P \quad \text{for } s \in \{A, F\}$$

- **Prediction:** political insiders act early

Bureaucratic ties ($T_b \uparrow$):

- Increase returns at implementation $\frac{\partial \Pi(I)}{\partial T_b} = \alpha_I \cdot P$
- **Prediction:** sectoral insiders act late

Policy importance ($P \uparrow$):

- Increases returns to intervention at all stages
- **Prediction:** issue importance drives early-stage lobbying despite risk

Summary of the toy model

Condition	Predicted lobbying stage	Example
High reputational risk ($R \uparrow$)	Formulation or implementation	Car companies engaging discreetly with EU climate regulators
High legal/regulatory exposure ($L \uparrow$)	Agenda-setting or formulation	UK financial sector shaping post-Brexit regulatory frameworks
Strong ties to politicians ($T_p \uparrow$)	Agenda-setting or formulation	Agricultural lobbies influencing CAP reform priorities in the EU
Strong ties to bureaucrats ($T_b \uparrow$)	Implementation	Pharmaceutical firms engaging with NICE in the UK over drug approval criteria
High policy importance ($P \uparrow$)	Any (esp. earlier stages)	Tech industry lobbying the EU over the Digital Markets Act to shape platform regulation

Who is targeted and why?

Starting point for much of the literature: Politicians are the primary target of lobbying.

Might be the case, but overlooks at least two important points:

1. Lobby groups can and do target **different types of politicians** as well as **staffers** (Hertel-Fernandez, Mildenberger, and Stokes, 2019), **regulators** and **bureaucrats** → revolving-door incentives (Blanes i Vidal, Draca, and Fons-Rosen, 2012; Fisman et al., 2025)
2. Targets are chosen in combination with stage of the policy-making process; choices are strategically interdependent

⇒ Let us extend our simple toy model to think this through after examining some empirics.

A brief empirical excursus to build some intuition (Miller, 2022)

Imagine that you have been retained as a lobbyist by the American Coalition of Retailers (ACR), a national trade association of brick-and-mortar retailers.

ACR executives have asked you to manage their strategy for lobbying Congress to pass a House bill that would require online retailers to collect and remit sales tax payments for all in-state and out-of-state transactions. This bill was recently voted out of the Judiciary Committee and will soon be considered on the floor.

As part of your lobbying efforts, ACR suggested that you try to arrange meetings with House members. Presented below are the profiles of 2 House members that ACR executives suggested that you consider contacting to set up meetings.

	Member 1	Member 2
Number of retail employees in member's district	30,000 to 34,999	More than 40,000
Did ACR's PAC donate to the member in the last cycle?	No	Yes; \$1000
Party	Democrat	Democrat
Margin of victory in last election	20% to 30%	10% to 20%
Judiciary Committee member	No	No
Judiciary Committee leadership position	None	None
Stated position on internet sales tax bill	Undeclared	Support
Cosponsor of internet sales tax bill	No	Yes
Number of previous terms served	7 terms	Freshman

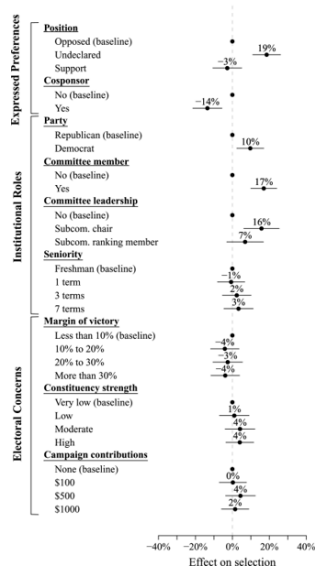
How interested would you be in meeting with each of these members to lobby in support of this bill?

	Not at all interested	Slightly interested	Somewhat interested	Very interested	Extremely interested
Member 1	☐	☐	☐	☐	☐
Member 2	☐	☐	☐	☐	☐

If you could only arrange a meeting with one of these House members, with which member would you prefer to meet?

Member 1

Member 2



Setup of the two-stage decision problem

An interest group chooses:

1. **Target** $t \in \{P_1, P_{\text{all}}, B, S\}$
 - P_1 : politicians from a single party
 - P_{all} : politicians from all major parties
 - B : bureaucrats
 - S : staffers or aides
2. **Policy stage** $s \in \{A, F, I\}$
 - A : agenda-setting
 - F : formulation
 - I : implementation

The group aims to maximise its expected influence while minimising reputational, legal, and access costs.

Solving the problem via backward induction

Stage 2: Given a target t , choose the optimal policy stage $s \in \{A, F, I\}$:

$$s^*(t) = \arg \max_s [\alpha_{s,t} \cdot P \cdot T_t - \beta_{s,t}^R \cdot R - \beta_{s,t}^L \cdot L]$$

Stage 1: Choose target $t \in \{P_1, P_{\text{all}}, B, S\}$ to maximise total payoff:

$$t^* = \arg \max_t \left[\max_s \Pi(s, t) - \rho_t \cdot R - \gamma_t \cdot A_t \right]$$

Total payoff:

$$\Pi(s^*, t^*) = \alpha_{s^*, t^*} \cdot P \cdot T_{t^*} - \beta_{s^*, t^*}^R \cdot R - \beta_{s^*, t^*}^L \cdot L - \rho_{t^*} \cdot R - \gamma_{t^*} \cdot A_{t^*}$$

Comparative statics: reputational misalignment ($R \uparrow$)

Reputational costs enter twice:

- **Stage-specific:** $\beta_{s,t}^R \cdot R \rightarrow$ public visibility at stage s
- **Target-specific:** $\rho_t \cdot R \rightarrow$ reputational exposure from engaging t

Implications:

- Early-stage lobbying ($s = A$) becomes less attractive
- Politicians ($t = P_1, P_{\text{all}}$) become more costly to target
- Bureaucrats and staffers gain relative advantage

Prediction: As R increases,

$$(t^*, s^*) \rightarrow (B, I) \quad \text{or} \quad (S, F)$$

Comparative statics: regulatory exposure ($L \uparrow$)

Legal or regulatory costs enter through: $\beta_{s,t}^L \cdot L$

Key assumption:

- $\beta_{I,t}^L > \beta_{F,t}^L > \beta_{A,t}^L \rightarrow$ costs highest at implementation

Implications:

- Late-stage lobbying becomes more costly
- Groups anticipate future enforcement risk and move upstream
- Targets who shape rules ex ante (e.g. P_1, S) become more attractive

Prediction: As L increases,

$$(t^*, s^*) \rightarrow (P_1, A) \quad \text{or} \quad (S, F)$$

Comparative statics: political and bureaucratic ties

Access benefits are target-specific: $\text{Benefit} = \alpha_{s,t} \cdot P \cdot T_t$

Implications of increased ties:

(i) Political ties $T_{P_1} \uparrow$:

- Raises benefit of targeting politicians from one party
- Especially valuable at agenda-setting or formulation
- **Prediction:** $(t^*, s^*) \rightarrow (P_1, A)$ or (P_1, F)

(ii) Bureaucratic ties $T_B \uparrow$:

- Increases value of bureaucratic influence
- Most useful at implementation
- **Prediction:** $(t^*, s^*) \rightarrow (B, I)$

Comparative statics: policy importance ($P \uparrow$)

Policy importance enters the benefit term: $\text{Benefit} = \alpha_{s,t} \cdot P \cdot T_t$

Implications:

- Higher P increases the returns to intervention at *all* stages and with *all* targets
- Makes early, more reputationally costly lobbying worthwhile
- Incentivises groups to act sooner despite visibility or access constraints

Prediction: As P increases,

$(t^*, s^*) \rightarrow$ earlier stages, more visible targets e.g., (P_1, A) or (P_{all}, F)

Summary: Strategic shifts in target and timing

Parameter increases	Strategic shift in (t^*, s^*)	Example
Reputational misalignment ($R \uparrow$)	$(P_1, A) \rightarrow (B, I)$	Extractive industries lobbying environmental regulators in Latin America
Regulatory exposure ($L \uparrow$)	$(B, I) \rightarrow (P_1, F)$	Food producers shaping EU labelling standards before enforcement
Political ties ($T_{P_1} \uparrow$)	$(P_{\text{all}}, F) \rightarrow (P_1, A)$	Farmers' unions influencing manifesto language during French elections
Bureaucratic ties ($T_B \uparrow$)	$(P_1, F) \rightarrow (B, I)$	Pharmaceutical firms working with EMA on approval pathways
Policy importance ($P \uparrow$)	$(B, I) \rightarrow (P_1, A)$	Defence contractors pushing early national procurement priorities

The means of influence, or how are policymakers targeted?

Central focus of the literature: Schnakenberg and Turner, 2024 argue there are three types of means

1. **Exchange-based influence** (quid pro quo), e.g. via money in politics (Ansolabehere, Figueiredo, and Snyder, 2003; Fourinaies and Fowler, 2022; Fourinaies and A. B. Hall, 2018; Weschle, 2021, 2022)
2. **Informational influence** (Awad, 2024; Cotton, 2012; Cotton and Dellis, 2015; Lohmann, 1995; Schnakenberg, 2017)
3. **Subsidy-based influence** (Ban, Palmer, and Schneer, 2019; Ban, Park, and You, 2023, 2025; Blumenthal, 2023; Ellis and Groll, 2020; R. L. Hall and Deardorff, 2006; Hertel-Fernandez, 2019)

Exchange-based influence (Schnakenberg and Turner, 2024)

Core logic: Influence is exercised via *transfers* (e.g. campaign contributions) in return for favourable policy.

- Modelled as a **menu auction** or direct transfer game (e.g. Grossman and Helpman 1996, 2001)
- Policymakers (PMs) are assumed to accept transfers only if these outweigh the utility from status quo policy
- Influence is **credible** when promises of compensation or punishment are enforceable

Normative implication:

- Reduces public welfare when PMs are incentivised to deviate from constituent preferences
- Influence = distortion

Empirical challenge: Why is there is so little money in politics (Ansolabehere, Figueiredo, and Snyder, 2003)?

- **Core puzzle:** Given the high value of policy decisions, why is campaign spending so low?
- **Main argument:** Campaign contributions are better understood as a form of **consumption**, not investment.
 - Most money comes from individuals, in small amounts
 - Contributions reflect civic participation, identity, and expressive motives
- **Empirical evidence:**
 - PACs and firms give far below legal limits
 - Contributions have minimal effects on roll call voting
 - Campaign spending scales with income and electoral competitiveness, not government size
- **Implication:** Weak linkage between money and policy outcomes → limited leverage for interest groups

A more nuanced perspective on money in politics (Weschle, 2022)

Core Idea: Politicians can access money through three main channels:

1. **Self-enrichment** while in office
2. **Campaign spending** to retain office
3. **Golden parachute jobs** after leaving office

Key Insight: These are not isolated phenomena—they are **interdependent** and governed by a common logic:

- Politicians pursue money to achieve *office retention* and *personal financial gain*
- Sources of money (donors, state resources) often don't distinguish between forms
- Politicians substitute between forms depending on **legal rules** and **electoral incentives**

Result: Regulating one form (e.g. campaign finance) has *second-order effects* on the others

Weschle's framework: Implications

1. Substitutability and Trade-Offs:

- Tighter *campaign finance* rules → More *self-enrichment* or *post-office jobs*
- Weak enforcement of corruption laws → Preference for in-office enrichment
- Demanding elections → Greater use of campaign funds

2. Third-Order Democratic Consequences:

- Voter trust depends on *how* money is used (vote buying self-enrichment)
- Regulation shifts not just *money flows* but also *who wins elections*

Takeaway: To understand or reform “money in politics,” we must treat it as a **strategic system with feedback effects**.

Empirical strategy: How Weschle, 2022 tests the theory

Methodological Approach:

- Combines **micro-level** asset, campaign, and career data with **comparative case studies**. Tries to get at causal identification using natural experiments, RDDs, and regulatory discontinuities

Empirical Evidence:

- **India & Brazil:** Politicians trade off personal enrichment vs. campaign spending based on electoral security
- **United States:** Campaign finance and post-office lobbying jobs are inversely related across states
- **Cross-national comparison:** 7 countries mapped into a 2D space of legal strictness × electoral competitiveness

Result: Evidence confirms that legal and electoral environments shape *how*, not just

Contrasting theories: Weschle, 2022 vs. menu auction models

Traditional view: Menu auctions

- Policymakers receive **direct transfers** (e.g. donations) in exchange for **policy favours**
- Formalized as **bid-response games** (Grossman and Helpman, 1994)
- Assumes *single-stage, one-shot* exchange
- Influence occurs only if donor and policymaker are **policy misaligned**

Weschle's view

- Money enters politics in **multiple forms**, with **intertemporal substitution**
- Politicians pursue **compound objectives** (reelection & wealth)
- Legal and electoral institutions shape *strategic trade-offs*
- Influence depends on **structural constraints**, not just preferences

Bottom line: Weschle embeds exchange-based influence in a broader system shaped by institutional context and interdependent incentives

Informational influence (Schnakenberg and Turner, 2024)

Core logic: IGs transmit information (cheap talk or verifiable signals) to influence PM beliefs about the state of the world.

Two microfoundations:

1. **State-dependent preferences:** IG wants policy only in certain states → *cheap talk* works with allies
2. **State-independent preferences:** IG always wants policy → *verifiable information* works with opponents

Targets: Can be allies or opponents depending on informational setting

Normative implications:

- Can improve welfare by correcting policy error
- Influence = potentially welfare-enhancing

The informational perspective and the buying of access

Key insight: Lobbying is often about **buying access**, rather than buying votes or policies.

Kalla and Broockman, 2016: A rare randomized field experiment sheds light on how money shapes access:

- Political organisation tried to schedule meetings with 191 U.S. congressional offices.
- Treatment group: offices were told meeting attendees were **local campaign donors**.
- Control group: same request, but framed as from **constituents** only.

Findings:

- Offices informed the attendees were donors were **3–4 times more likely** to grant meetings with senior officials (e.g., members of Congress, chiefs of staff). The donor label *alone*, with no explicit quid pro quo, dramatically increased access. Crucially, this was about securing the opportunity to present a viewpoint—not about changing votes.

Implication: Even small donations can function as a signal of political engagement, opening doors that remain closed to most.

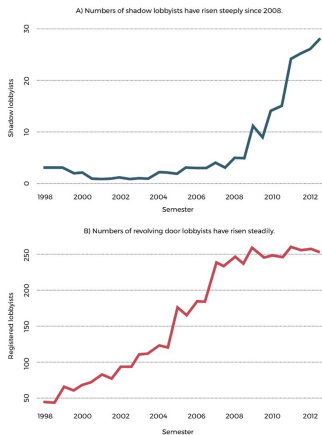
But is this just a U.S. phenomenon? How generalisable are these findings?

The rise of shadow of lobbyists and the ever faster spinning revolving door

The rise of shadow lobbyists – lobbyists that are not registered in accordance with the *Lobbying Disclosure Act* of 1995 – and revolving-door career pathways can be construed as growing recognition that access and informational means of influence matter a great deal.

Hiring people with personal ties to influential policymakers or regulators (Kalmenovitz, Vij, and Xiao, 2022) allows firms to buy access while reducing the risk of reputational cost because lobbying occurs discreetly.

Figure 1: Numbers of lobbyists have risen between 1998 and 2012



Note: 'Revolving door lobbyists' are registered lobbyists who have previously held staff positions in the US Congress.

Source: d'Este, Draca, and Fons-Rosen, 2023

Is buying access just a US curiosity?

Egerod, Rasmussen, and Ploeg, 2024 examine the EU Commission to ask: Do interest groups gain greater political access by hiring former EU officials—i.e., through the revolving door?

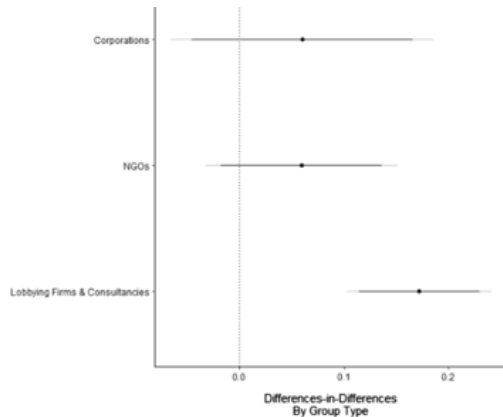
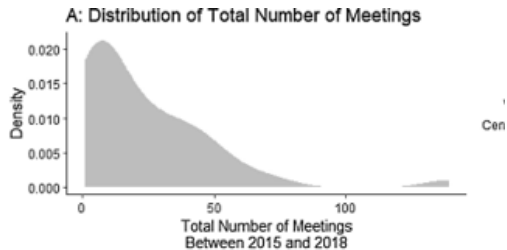
- They track the hirings of former EU Commissioners and top officials by organised interests. Using a difference-in-differences design, they analyse how hiring affects access to high-level Commission meetings.

Key findings:

- **No general effect**—hiring former insiders does *not* increase meeting frequency across the board. But: **significant gains** in access to *agenda-setting* meetings—especially early in the policy process. Effects are **short-lived** and concentrated among **contract lobbying firms**, which lack legitimacy but benefit from insider ties.

Implication: Even in non-U.S. systems like the EU, access is a key lobbying resource—especially where formal institutions depend on external input and insider trust.

Illustrating the findings by Egerod, Rasmussen, and Ploeg, 2024



Subsidy-based influence (Schnakenberg and Turner, 2024)

Core logic: IGs relax resource constraints by providing PMs with policy labour, expertise, or political support.

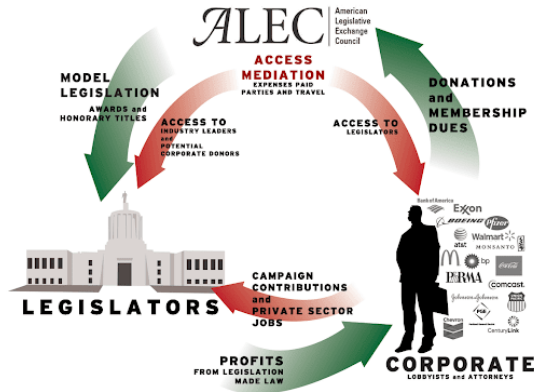
Setup:

- PM faces an effort budget B and must allocate effort across issues x and y
- IG subsidises x either by increasing B (*simple subsidy*) or lowering cost c_x (*specific subsidy*)

Normative implications:

- Influence depends on whether subsidised effort aligns with public interest
- Potential for both *agenda distortion* and *policy reinforcement*

Illustrating subsidy-based influence: The *American Legislative Exchange Council* (Hertel-Fernandez, 2019)



Source: [Beder](#)

The scope of lobbying efforts

Why do firms lobby *together*? Under what conditions does collective action emerge?

1. Baron, 1995: The Logic of Rent Chains

- Firms are linked in “rent chains”—upstream policy benefits cascade to downstream firms.
- **Strategic complementarity**: one firm’s lobbying increases returns to others’ lobbying.
- **Prediction**: supply chain actors form *coalitions* to jointly lobby for favourable rules.

2. Kennard, 2020: Asymmetric Costs and Competitive Lobbying

- Firms face different **adjustment costs** from regulation (e.g., green capital).
- Low-cost firms may support regulation to **hurt rivals** with higher costs.
- **Prediction**: not all firms oppose costly policies—*division within industries*.

Tension: Collective action vs. competitive lobbying—outcomes shaped by rent spillovers, cost asymmetries, and network position.

The rent chain (Baron, 1995)

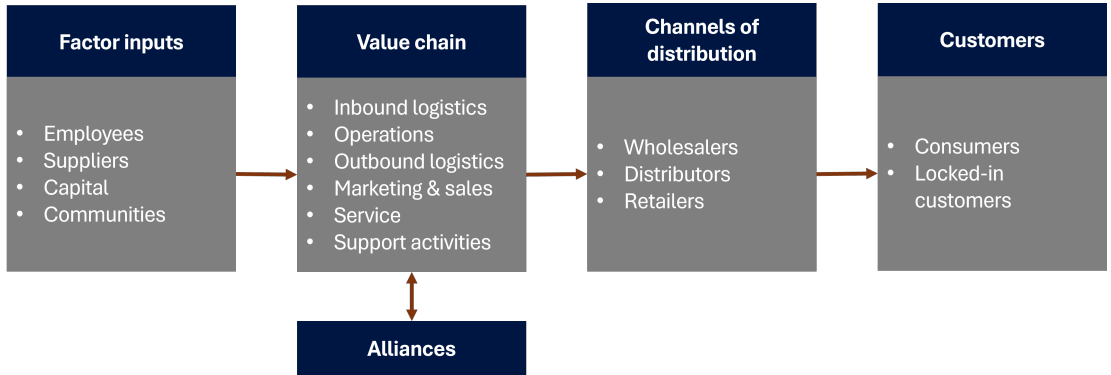


Figure: The rent chain

Revisiting the logic of collective action: Rent chains, concerted action, and the varieties of political influence (Baron, 1995)

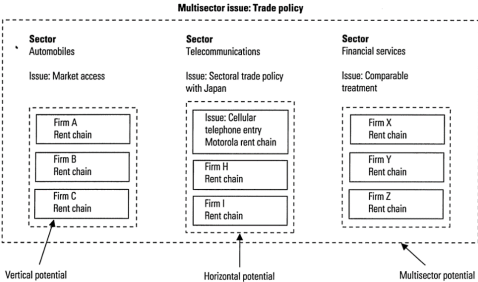
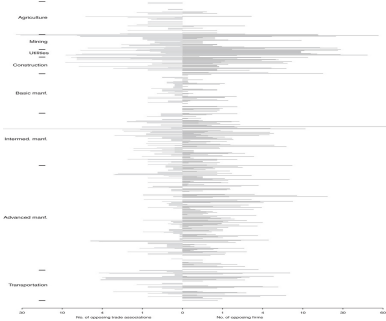
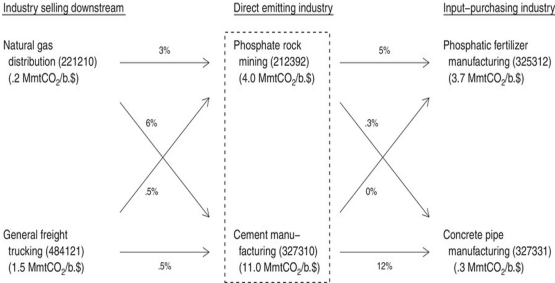


Figure: Interests along the rent chain

	Peak organizations	Trade and industry associations	Individual firm
Multi-sectoral	Efficiency	Benefits	
Industry-level		Benefits	Advantage
Firm-level			Advantage

Figure: Lobbying outcomes

Do supply, value, and rent chains matter for firms' climate policy preferences? (Cory, Lerner, and Osgood, 2021)



Formalising these intuitions: Collective action along the rent chain

Actors and setup

- Set of firms $\mathcal{F} = \{1, 2, \dots, N\}$, positioned along a rent chain (e.g., supply chain).
- Baseline rents: R_i^0 ; post-policy rents: R_i^1 ; net effect: $\Delta R_i = R_i^1 - R_i^0$
- Directed graph $G = (\mathcal{F}, E)$: firm j depends on i if $(i, j) \in E$

Coalition formation

- Action: $a_i \in \{0, 1\}$, where $a_i = 1$ if firm i joins coalition $C \subseteq \mathcal{F}$
- Cost of joining: $c_i > 0$

Model (continued): Spillovers and expected payoffs

Policy Success Probability $\pi(C) = \pi\left(\sum_{i \in C} w_i\right)$ (increasing, concave)

Spillover Effects (Baron logic)

$$s_i(C) = \sum_{j \in C, j \neq i} \theta_{ji} \cdot \Delta R_i$$

- $\theta_{ji} \in [0, 1]$: strength of rent spillovers from j to i
- Captures shared policy effects via supply chain or joint exposure

Payoff Function

$$\Pi_i(C) = \pi(C) \cdot [\Delta R_i + s_i(C)] - a_i \cdot c_i$$

Equilibrium: Participation decision

Firm payoff: $\Pi_i(a_i, a_{-i}) = \begin{cases} \pi(C) \cdot [\Delta R_i + s_i(C)] - c_i & \text{if } a_i = 1 \\ \pi(C) \cdot s_i(C) & \text{if } a_i = 0 \end{cases}$

Firm joins the coalition if and only if: $\underbrace{\pi(C \cup \{i\}) \cdot [\Delta R_i + s_i(C \cup \{i\})] - \pi(C) \cdot s_i(C)}_{\text{Marginal payoff gain}} \geq c_i$

Equilibrium condition (pure strategy Nash):

$$a_i^* = \begin{cases} 1 & \text{if net gain from joining} \geq c_i \\ 0 & \text{otherwise} \end{cases}$$

Interpretation: Participation is more likely when...

- Rent gain ΔR_i is large
- Spillovers from others are high
- Success probability is sensitive to i 's action
- Participation cost c_i is low

Comparative statics: Spillovers ($\theta_{ji} \uparrow$)

Recall:

$$\Pi_i(1, a_{-i}) = \pi(C \cup \{i\}) \cdot \left[\Delta R_i + \sum_{j \in C \cup \{i\}, j \neq i} \theta_{ji} \cdot \Delta R_i \right] - c_i$$

Differentiate w.r.t. θ_{ji} :

$$\frac{\partial \Pi_i}{\partial \theta_{ji}} = \pi(C \cup \{i\}) \cdot \Delta R_i \quad (\text{positive if } \Delta R_i > 0)$$

Implications:

- Stronger supply chain linkages increase the indirect value of coalition participation.
- Participation becomes more attractive as $\theta_{ji} \uparrow$.

Prediction: Rent chain density fosters broader, more cohesive lobbying coalitions.

Comparative statics: Participation cost ($c_i \uparrow$)

Payoff gap from joining:

$$\Delta\Pi_i = \pi(C \cup \{i\}) \cdot [\Delta R_i + s_i(C \cup \{i\})] - \pi(C) \cdot s_i(C) - c_i$$

Marginal effect:

$$\frac{\partial \Delta\Pi_i}{\partial c_i} = -1$$

Implications:

- As c_i rises, firm i is less likely to join.
- High-cost actors may free-ride unless subsidised by others.

Prediction: Upstream or large actors can coordinate or subsidise downstream lobbying (Baron, 1995).

Comparative statics: Policy rent differential ($\Delta R_i \uparrow$)

Marginal effect on participation payoff:

$$\frac{\partial \Delta \Pi_i}{\partial \Delta R_i} = \pi(C \cup \{i\}) \cdot \left(1 + \sum_{j \in C \cup \{i\}, j \neq i} \theta_{ji} \right)$$

Implications:

- Higher policy stakes increase the expected benefit of joining.
- Greater asymmetry in ΔR_i across firms $\rightarrow$ divergent lobbying incentives.

Prediction: High-benefit firms drive coalition formation; low-benefit or harmed firms may defect (Kennard, 2020).

Outline

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The Lowi-Wilson workhorse “model”

Limitations and shortcomings

Extensions

Extending the general interest group logic

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The relative importance of interest groups and voters in policymaking

While there are few fully fleshed out theoretical models that have comparative relevance, exploring this interactions is central.

To my mind, the literature provides us with the following building blocks:

1. Distinction between uninformed and informed voters (Arnold, [1993](#); Baron, [1994](#); Chang et al., [2010](#); Grossman and Helpman, [1996](#), [2001](#))
2. Issue salience (Culpepper, [2011](#))
3. Uncertainty about public opinion (Lindvall, Rueda, and Zhai, [2023](#))
4. Reputational concerns, public opinion congruence, and political scandals (Abito, Besanko, and Diermeier, [2019](#); Culpepper, Jung, and T. Lee, [2024](#); Diermeier, [2023](#))

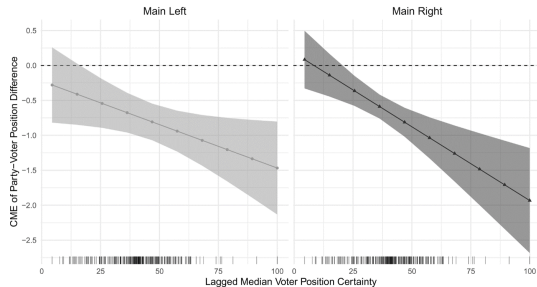
Determining the *locus* of politics: Mass vs elite politics and the importance of salience

Salience (or: visibility) moderates the extent to which mass politics matters in policy formulation & decision-making – independently of the costs & benefits of regulation

- When the salience of a topic is very high, politicians might have strong incentives to respond to mass preferences to maximise votes (and “remain in the game”)
 - Even if the cost/benefit structure resembles an Olsonian setting
 - Even if the interest groups opposed to mass preferences are relatively stronger than those aligned with mass preferences.
- Similar reasoning applies to the salience of costs and benefits
- This is more likely to be the case when policies are easy to understand and complexity is low (example: reproductive rights vs financial market regulation)

Uncertainty about the median voter's position and party competition

- Lindvall, Rueda, and Zhai, 2023 argue that uncertainty affects the relative importance of vote- and policy-seeking motivations:
 - **Low uncertainty**: vote-seeking motives dominate (parties know where to move to win votes)
 - **High uncertainty**: policy-seeking motives dominate (parties don't know whether departures from their ideal point will bring electoral benefits)
- **Measure of uncertainty**:
 - Strength of 'signal' parties receive about the median's position (please refer to the paper)



Economic environment (Grossman and Helpman, 1994)

- **Small open economy** with:
 - 1 numeraire good (x_0), produced with labor alone
 - n non-numeraire goods, each produced with labor and a *sector-specific* factor
- **Consumers:**
 - Identical preferences: $u = x_0 + \sum u_i(x_i)$
 - Differ in endowments: labor and possibly a sector-specific factor
- **Markets:** Competitive, constant returns to scale, wage normalised to 1

Trade and policy instruments

- Government can impose:
 - **Import tariffs**
 - **Export subsidies or taxes**
- Let:
 - p_i^* : world price of good i
 - p_i : domestic price
 - $t_i = \frac{p_i - p_i^*}{p_i^*}$: ad valorem trade tax
- **Organised vs. unorganised sectors:**
 - Only some industries are politically organised (lobbies)
 - Lobbies act strategically to influence policy

Government and lobby objectives

Government:

- Maximises:

$$G = \sum_{i \in L} C_i(p) + a \cdot W(p)$$

- $C_i(p)$: contribution from lobby i (depends on policy vector p)
- $W(p)$: aggregate (gross) welfare = income + tariff revenue + consumer surplus
- a : weight on aggregate voter welfare

Lobbies:

- Each lobby i chooses a contribution schedule $C_i(p)$
- Objective: $W_i(p) - C_i(p)$ (gross payoff minus contribution)

Game structure and equilibrium concept

1. All lobbies simultaneously choose contribution schedules $C_i(p)$
2. Government chooses policy p to maximise G
3. Contributions are made, welfare is realised

Equilibrium: Subgame-perfect Nash equilibrium (menu auction framework)

- Government responds optimally to given $\{C_i(p)\}$
- Each lobby optimises $W_i(p) - C_i(p)$ anticipating government response

Truthful contribution schedules and local conditions

- **Truthful schedule:** $C_i^T(p) = \max\{0, W_i(p) - B_i\}$
- **Local condition:**

$$\nabla C_i(p^*) = \nabla W_i(p^*)$$

- Lobbies reveal their true marginal valuation for policy changes

Government's FOC:

$$\sum_{i \in L} \nabla W_i(p^*) + a \cdot \nabla W(p^*) = 0$$

Setup (Chang et al., 2010; Rogowski and Kayser, 2002)

- Consider a democracy in which the government allocates policy benefits between:
 - **Consumers:** numerous, diffuse, and unorganised
 - **Producers:** fewer, concentrated, and politically organised
- **Policy space:** Let $x \in [0, 1]$ denote the policy outcome
 - $x = 0$: fully producer-favouring (e.g., high protection, price supports)
 - $x = 1$: fully consumer-favouring (e.g., low prices, open competition)
- Electoral institutions affect how responsive the system is to shifts in voter sentiment

Actors and preferences

- **Consumers:**

- Mass electorate with identical preferences
- Utility increasing in x (more competition, lower prices)

- **Producers:**

- Organised interest groups (e.g., industry lobbies)
- Utility decreasing in x (prefer regulation, price floors, subsidies)

- **Politician (government):**

- Office-seeking, maximises probability of reelection
- Balances support from voters and producers

Electoral responsiveness as a political weight

- Politician chooses policy x to maximise:

$$U(x) = \omega \cdot R_C(x) + (1 - \omega) \cdot R_P(x)$$

- $R_C(x)$: support from consumers (increasing in x)
- $R_P(x)$: support from producers (decreasing in x)
- $\omega \in [0, 1]$: political weight placed on consumers
 - ω is endogenous to electoral system responsiveness
 - $\omega \uparrow$ if small changes in voter sentiment affect political survival

Comparative statics: responsiveness and policy choice

- Let $\omega = \omega(e)$, where e is the system's electoral responsiveness
- Assume $R'_C(x) > 0$ and $R'_P(x) < 0$
- First-order condition:

$$\omega R'_C(x^*) + (1 - \omega)R'_P(x^*) = 0$$

- As responsiveness increases:

$$\frac{d\omega}{de} > 0 \Rightarrow x^* \uparrow$$

- **Implication:** Majoritarian systems (high e) generate more consumer-friendly policies

Equilibrium bias and institutional context

- Let $x^*(e)$ denote the equilibrium policy as a function of electoral responsiveness
- Then:

$$\frac{dx^*}{de} > 0$$

- Majoritarian systems $\Rightarrow$ high e , high ω , high x^*
- Proportional systems $\Rightarrow$ low e , low ω , low x^*
- **Interpretation:** More consumer-friendly policy in majoritarian systems; more producer rents in PR systems

Model implications

- **More responsive (majoritarian) systems:**
 - Higher $\omega \Rightarrow$ stronger weight on consumers
 - Lower prices, weaker regulation, more competitive markets
 - Weaker producer cartels and rent-seeking
- **Less responsive (PR) systems:**
 - Lower $\omega \Rightarrow$ stronger weight on producers
 - Higher prices, more protectionism, more regulation
 - Stronger corporatist institutions and interest group power

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Conclusion

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TBD

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Outline

Extensions of the Lowi-Wilson framework

Expanding on the shortcomings

Towards a dynamic perspective: Time inconsistency and commitment problems

Distinguishing between vertical and horizontal inequality

Issue bundling, logrolling, and the politics of coalition formation

The objectives of both politicians and voters

The extension by Peltzman, 1976 (◀ Back)

Three actors:

- Producers maximise profit (which is a function of prices).
- Consumers care about prices.
- The regulator maximises votes.

→ Politicians are indifferent between low profits and low prices (point A) and high profits and high prices (point B).

Equilibrium result: point of tangency between iso-vote curve and profit-price frontier. In naturally competitive industries, regulation results in a welfare loss for consumers since prices increase. The reverse holds for industries with initially high market power.

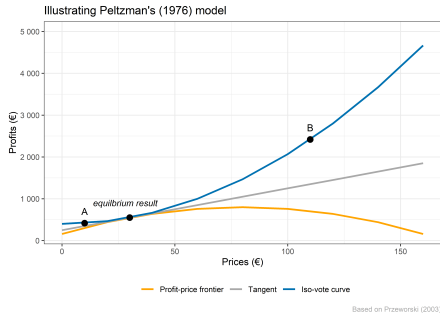


Figure: The equilibrium à la Peltzman (1976)

Rational ignorance and the visibility of the costs of regulation (◀ Back)

With perfectly informed consumers, no politician would ever regulate a naturally competitive industry – in which case regulation is not beneficial for consumers.

→ *Politicians only regulate naturally competitive industries (point A) when consumers/voters are not fully informed.*

Peltzman and Stigler, drawing on the seminal work by Downs (1957), base this assumption on the idea of rational ignorance. Voters are ignorant about the effect of regulation on prices.

→ *Price changes are typically too small for consumers to be willing to incur the costs associated with gathering the requisite information. Incumbent firms, by contrast, are heavily affected by regulation and therefore have a strong incentive to gather all necessary information.*

This, once again, is the logic of diffuse and concentrated interests: regulation's benefits are concentrated among incumbent firms, whereas its costs are borne by the diffuse mass of consumers.

Extension: The dynamic logic of capture ()

- Callander, Foarta, and Sugaya (2022) examine the dynamic logic of capture: [How does innovation by the monopolist affect the balance of power between the latter and the regulator?](#)
- Suppose, first, that the firms that are excluded from the market have significantly higher innovation potential than the monopolist.
 - The regulator's protection – [in the form of regulatory barriers to entry](#) – is enormously valuable for the monopolist. If these barriers were removed, the monopolist's profit would be reduced. In this scenario the regulator dominates the relationship.
- Now, assume that the monopolist's innovation potential increases by virtue of, for instance, extensive R&D investments, eventually exceeding the innovation potential of the excluded firms.

Stagnation and the dynamic logic of capture (◀ Back)

- The monopolist dominates the regulator. As the monopolist's innovation potential – relative to the excluded challengers – rises, the value of the regulator's protection declines. After all, even if the regulator were to remove the barriers to entry the monopolist would still make a handsome profit.
- The regulator, however, anticipating that the monopolist's growing innovation potential undermines her power, prevents that by removing the barriers to entry. This increases competition and allows the excluded firms to catch up with the monopolist technologically.
 - Competition erodes the monopolist's innovation advantage – at which point the regulator restores the barriers to entry to continue earning some portion of the monopoly rents. The monopolist, in turn, anticipates this reaction by the regulator, and responds by not investing in its innovation capability.

The theory-laden empirics of “regulatory capture” ([← Back](#))

Stigler argued that capture can be detected by simply identifying the winners and losers of regulations and then inferring that the winners succeeded in capturing the relevant regulators.

In a seminal paper, D. P. Carpenter ([2004](#)) showed that this inferential logic is **incorrect**.

"A regulation can end up giving distinct and enduring advantages to larger, older firms in an industry while having been originally designed in a way that was entirely neutral. In a world where a regulator understood as rational in the pure Bayesian sense regulated a population of firms and their new products, the regulator would have less uncertainty about the incumbents. There is simply more data on them. In this way, larger, older firms might be 'trusted' by the regulator in an uncertain world, and the repeated interaction of a Bayesian regulator would produce systematic decision advantages ... for what Stigler called 'the industry.'" (D. Carpenter, [2021](#))

→ Measurement requires theory

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Time Inconsistency in policymaking ([← Back](#))

Time inconsistency arises when the government's *ex ante* and *ex post* incentives diverge (Kydland and Prescott, [1977](#)).

Short-run commitment problems:

- Time-inconsistent policymaking occurs despite stable political power (Lindvall, [2017](#))
→ Shifts in interest group power or personnel with different agendas

Long-run commitment problems:

- Driven by changing incentives or shifts in political power (Lindvall, [2017](#))
- Elections can alter control of power between parties with conflicting agendas
- Socio-economic changes affect long-term promises to key constituents (e.g. social democratic parties and workers)

Mitigating commitment problems (via political institutions)

Common solutions to short-run commitment problems:

- Bureaucratic independence
- Creating junior ministerial posts to monitor whether ministers hold up their end of the bargain in coalition governments (Thies, [2001](#))
- Delegating authority to independent agencies
- Using legislative committees as monitoring devices (Martin and Vanberg, [2004](#))

Common solutions to long-term commitment problems: (Brunner, Flachsland, and Marschinski, [2012](#))

- Delegating authority to independent agencies (e.g. central banks in monetary policy)
- Legislation (e.g. climate change laws specifying national emission reduction targets)
- Securitization (e.g. contracts over subsidies, anchoring policy in property law)

Vertical and Horizontal Inequality – What is the difference and why does it matter? (◀ Back)

Different types of inequality

- **Vertical Inequality:**
Inequality *between* income groups
- **Horizontal Inequality:**
Inequality *within* income groups

Recent research suggests that horizontal inequalities may be more potent for climate policy than vertical ones (Missbach and Steckel, [2024](#)).

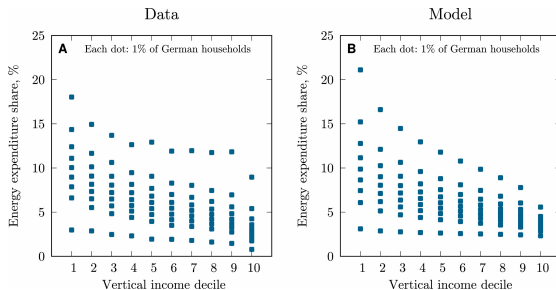


Figure: Results by Hänsel et al., [2022](#)

When does the vertical-horizontal distinction matter *politically*? ([◀ Back](#))

- Because a single-minded focus on vertical inequalities can lead us to draw **incorrect conclusions about the coalitions** that might support or oppose some policy.
 - This can also lead us to overlook the compensatory bargains required to bring key actors on board with reform.
- Example
 - In 2019, the German government (CDU/CSU and SPD) sought to introduce a carbon price for the transport and buildings sectors.
 - Without compensation, the rural population would have been disproportionately affected compared to the urban population, largely due to commuting.
 - Since the rural population is a key constituency for the CDU/CSU, what kind of compensation or revenue-recycling scheme was needed to secure their agreement for the carbon pricing?

Issue bundling and logrolling (◀ Back)

Two important points, which the Wilson-Lowie approach overlooks:

- **Parties and legislators usually interact repeatedly** and can therefore engage in vote trading or logrolling. By trading votes over time, majorities can form which would not otherwise have formed.

“Logrolling is the process whereby people trade votes or support on different matters to produce a prearranged outcome. The simplest example would be when legislators vote for something they do not particularly want (or even strongly oppose), as part of a deal where other people give their support to measures they do want.” (McGann, 2019, p. 452)

Issue bundling and logrolling (continued)

- **Often, legislation does not consist of a single policy**, but bundles of policies.
 - By combining loosely related or unrelated issues into a single bundle, and having legislators vote on that bundle rather than each component separately, majorities can form that would not otherwise be possible (Gazmararian and Tingley, [2023](#)).
 - Sometimes, however, the possibility of issue bundling can also induce gridlock (B. E. Lee, [2022](#)).
 - Players may veto Pareto-improving policies so that they can bundle them at a later point with more divisive issues.

Modifying the rational actor model (◀ Back)

The objectives of both politicians and voters extend beyond narrow, material self-interest, whilst their cognitive capacities are limited.

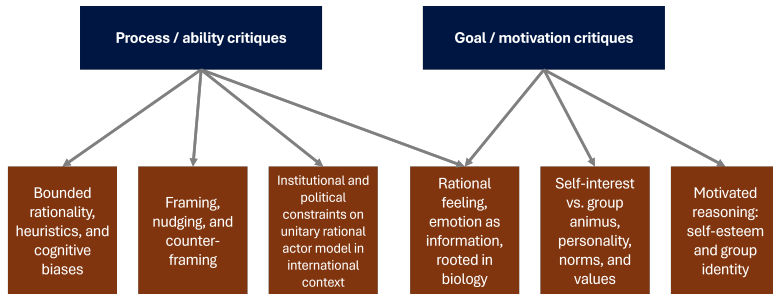


Figure: Overview of critiques of the rational actor model based on Figure 1.2 in Mintz, Valentino, and Wayne, 2021